Type MS · Partnership statement of financial position

Answer 1 of 3 · Question 2 part b · 15 marks

2025 JUN · Paper 02 (regional R) · extract 1 of 3 · find part b in this mark scheme extract

2 (a)

Award marks as indicated.

Victoria and Albert

Appropriation account for the year ended 30 April 2025

	$	$	
Profit for the year		80 000	
Interest on drawings:			
Victoria	90		
Albert	60		
		150	**(1)**
Interest on capital:			
Victoria	2 500		
Albert	1 500		
		(4000)	**(1)**
Salary: Victoria		(12 000)	**(1)**
Residual profit		64 150	**(1of)**
Share of profit:			
Victoria		32 075	**(1of fb)**
Albert		32 075	
		64 150	

(5)

Type MS · Partnership statement of financial position

Answer 1 of 3 · Question 2 part b · 15 marks

2025 JUN · Paper 02 (regional R) · extract 2 of 3 · find part b in this mark scheme extract

Question Number	Answer	Mark
2(b)	**Award marks as indicated.**	**(15)**

Victoria and Albert

Statement of financial position at 30 April 2025

	$	$	$
Assets			
Non-current assets			
Land and buildings			100 000
Fixtures and fittings			40 000
Motor vehicles			15 000
			155 000 **(1)**
Current assets			
Inventory		14 320	
Trade receivables		19 500 **(1)**	
Other receivables		350 **(1)**	
Petty cash		250	
			34 420 **(1)**
Total assets			189 420 **(1of)**
Equity and liabilities			
Equity	**Victoria**	**Albert**	
Capital account	50 000 **(1)**	30 000 **(1)**	80 000
Current account	48 185 **(1)**	30 015 **(1)**	78 200
Total equity	98 185	60 015	158 200 **(1of)**
Current liabilities			
Partnership loan		8 000 **(1)**	
Trade payables		12 000	
Other payables		650 **(1)**	
Bank		10 570 **(1)**	
Total liabilities			31 220 **(1of)**
Total equity and liabilities			189 420 **(1of)**

Type MS · Partnership statement of financial position

Answer 1 of 3 · Question 2 part b · 15 marks

2025 JUN · Paper 02 (regional R) · extract 3 of 3 · find part b in this mark scheme extract

Question Number	Answer	Mark
2(c) (i)	**Award one mark for identification of an advantage and one mark for valid development.** **Sample answer** As the LLP is considered a separate legal entity each partner's liability would be limited to their investment in the partnership **(1)** Therefore, their personal assets cannot be used to satisfy business debts. **(1)** **Accept any other appropriate responses**	**(2)**

Question Number	Answer	Mark
2(c) (ii)	**Award one mark for identification of a reason and up to two marks for valid development.** **Sample answer** Goodwill is an intangible asset which adds value **(1)** to a partnership therefore when a new partner joins an existing partnership he will benefit from an inherent value **(1)** which will have built up due to the partnership's reputation etc **(1)** **Accept any other appropriate responses**	**(3)**

TOTAL FOR QUESTION 2 = 25 MARKS

Type MS · Partnership statement of financial position

Answer 2 of 3 · Question 1 part c · 14 marks

2020 NOV · Paper 02 · extract 1 of 3 · find part c in this mark scheme extract

1 (a) **Award marks as indicated with label.**

Muneeb and Javeed Appropriation account for the year ended 31 March 2020		
	$	$
Profit for the year		78 000
Interest on capital		
Muneeb	10 000**(1)**	
Javeed	5 000**(1)**	
		(15 000)
Salary		
Muneeb		(12 000) **(1)**
Profit available for distribution		51 000
Share of profit		
Muneeb		34 000**(1of)**
Javeed		17 000**(1of)**
		51 000

(5)

Question Number	Answer	Mark
1 (b)	**Award 1 mark for each correct figure as indicated plus 1 mark for correct dates and details.**	

Current Account - Muneeb

Date	Details	$	Date	Details	$
1 April 2019	Balance b/d	5 750	31 March 2020	Interest on capital	10 000 **(1of)**
31 March 2020	Drawings	42 500 **(1)**		Salary	12 000 **(1)**
	Balance c/d	7 750		Share of profit	34 000 **(1of)**
		56 000			56 000
			1 April 2020	Balance b/d	7 750 **(1of)**

(6)

Type MS · Partnership statement of financial position

Answer 2 of 3 · Question 1 part c · 14 marks

2020 NOV · Paper 02 · extract 2 of 3 · find part c in this mark scheme extract

Question Number	Answer	Mark
1 (c)	**Award marks as indicated with label.**	**(14)**

Muneeb and Javeed
Statement of financial Position at 31 March 2020

	$	$	$
Assets			
Non-current assets			100 000 (**1**)
Current assets			
Inventory		46 475 **(1)**	
Trade receivables	34 590		
Allowance for irrecoverable debts	(3 000)		
		31 590 **(1)**	
Other receivables		1 040 **(1)**	
Cash and cash equivalents		1 145 **(1)**	
			80 250 **(1of)**
Total assets			180 250 **(1of)**
Equity and liabilities			
Equity			
Equity	Muneeb	Javeed	
Capital account	100 000 **(1)**	50 000 **(1)**	150 000
Current account	7 750 **(1of)**	(3 950) **(1)**	3 800
Total equity			153 800
Current liabilities			
Trade payables		25 850 **(1)**	
Other payables		600 **(1)**	
Total equity and liabilities			180 250 **(1of)**

Type MS · Partnership statement of financial position

Answer 2 of 3 · Question 1 part c · 14 marks

2020 NOV · Paper 02 · extract 3 of 3 · find part c in this mark scheme extract

Question Number	Answer	Mark

Type MS · Partnership statement of financial position

Answer 3 of 3 · Question 1 part b · 12 marks

2023 JAN · Paper 02 · extract 1 of 3 · find part b in this mark scheme extract

1(a) **Award marks as indicated.**

	Manufacturing account		Income statement	
	Prime cost	**Factory overheads**	**Income**	**Expenditure**
Wages-production staff	✓ **(1)**			
Wages-office staff				✓ **(1)**
Wages-factory supervisor		✓ **(1)**		
Carriage outwards				✓ **(1)**
Decrease in provision for irrecoverable debts			✓ **(1)**	
Royalties paid	✓ **(1)**			

(6)

Type MS · Partnership statement of financial position

Answer 3 of 3 · Question 1 part b · 12 marks

2023 JAN · Paper 02 · extract 2 of 3 · find part b in this mark scheme extract

Question number	Answer	Mark
1(b)	**Award marks as indicated.**	(12)

Bella and Chand
Statement of financial position at 30 September 2022

Assets	**$**	**$**	**$**
Non-current assets	**Cost**	**Accumulated depreciation**	**Carrying value**
Property, plant and equipment	65 000	18 050	46 950 **(1)**
Current assets			
Inventories		38 800	
Trade receivables Working [$27 600 **(1)** - $380 = $27 220		27 220 **(2)**	
Bank		4 775	
Petty cash		125	
			70 920 **(1)**
Total assets			117 870 **(1)**
Equity and liabilities			
Equity	**Bella**	**Chand**	
Capital	50 000 **(1)**	50 000 **(1)**	100 000
Current	10 500 **(1)**	3 450 **(1)**	13 950
Total equity			113 950 **(1)**
Current liabilities			
Trade payables		3 490	
Other payables		430	
			3 920 **(1)**
Total equity and liabilities			117 870 **(1)**

Type MS · Partnership statement of financial position

Answer 3 of 3 · Question 1 part b · 12 marks

2023 JAN · Paper 02 · extract 3 of 3 · find part b in this mark scheme extract

<table>
<tr><th>Question number</th><th>Answer</th><th>Mark</th></tr>
<tr><td>1(c)(i)</td><td>Award marks as indicated.

<table>
<tr><th>Ratio</th><th>Formula</th></tr>
<tr><td>Profit for the year as a percentage of revenue</td><td>Profit for the year x 100
Revenue
(1)</td></tr>
<tr><td>Return on capital employed</td><td>Profit for the year x 100
Capital employed.
(1)</td></tr>
</table>
</td><td>(2)</td></tr>
</table>

Question number	Answer	Mark
1(c)(ii)	**Award up to 4 marks for discussion on both ratios and the final 1 mark for a conclusion related to the scenario.** **Sample answer** Profit for the year as a percentage of revenue has improved over the year **(1)** indicating a better control of expenses **(1).** The return on capital employed has worsened **(1)** indicating an inefficient use of resources **(1).** Overall, profitability has worsened **(1).**	**(5)**

(Total for Question 1 = 25 marks)